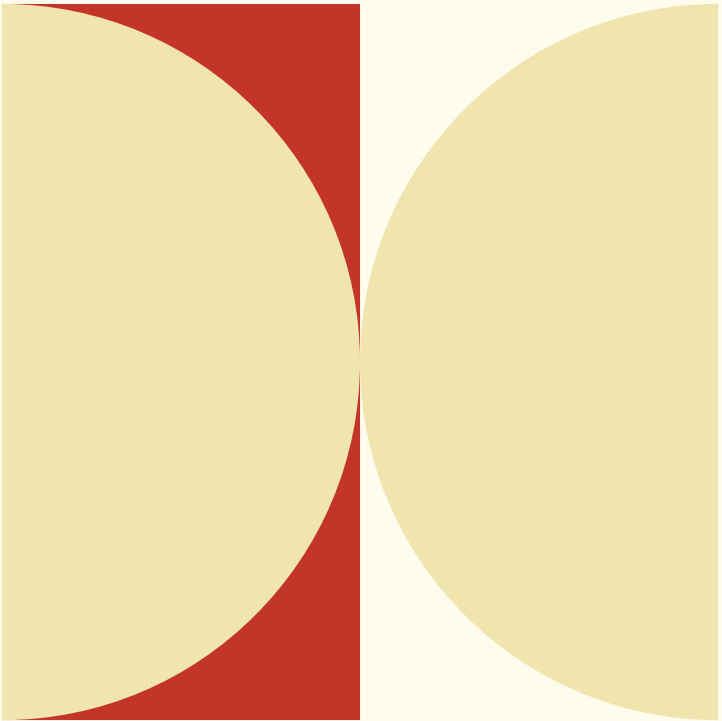
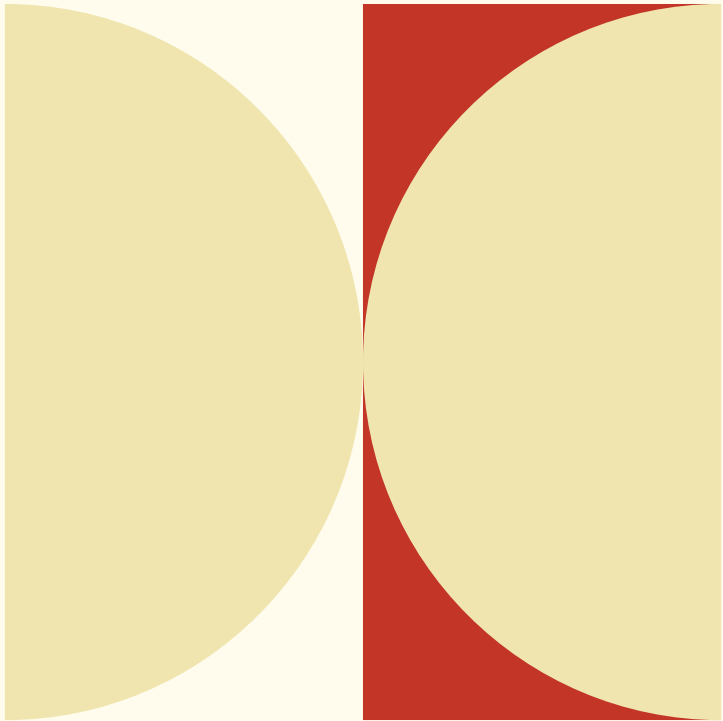


A decorative graphic on the left side of the title, consisting of a red square and a yellow circle. The circle is partially inside the square, and its right edge is aligned with the left edge of the title text.

Ratio Analysis

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Understanding Ratio for Better Decisions



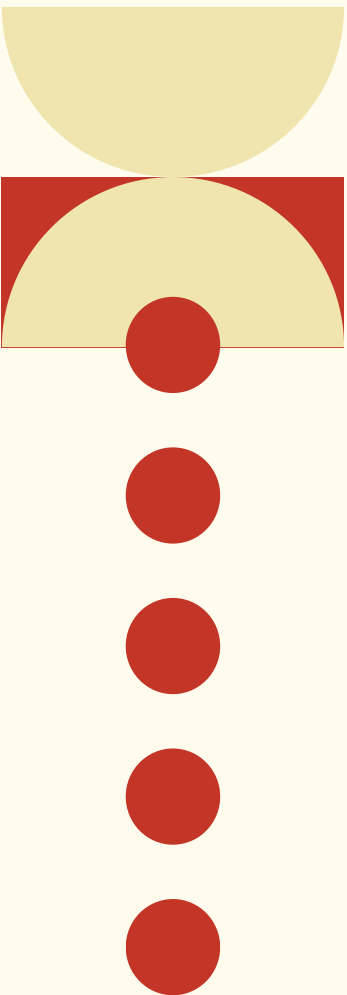
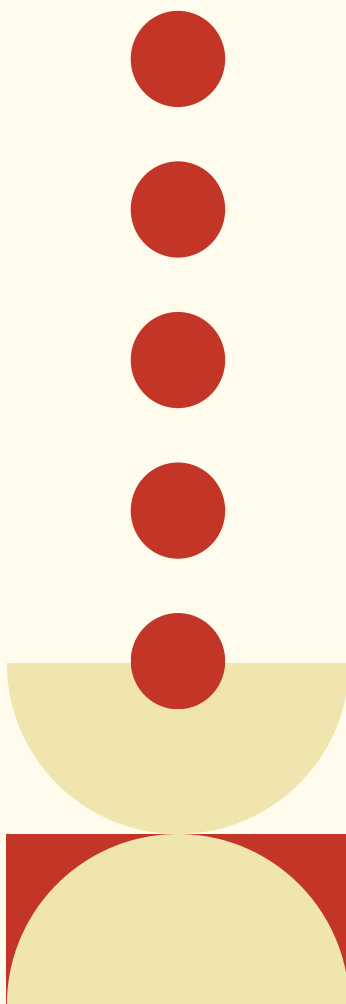
RATIO ANALYSIS ON RELIANCE INDUSTRIES

Made by : Patel vraj anilbhai

Group members

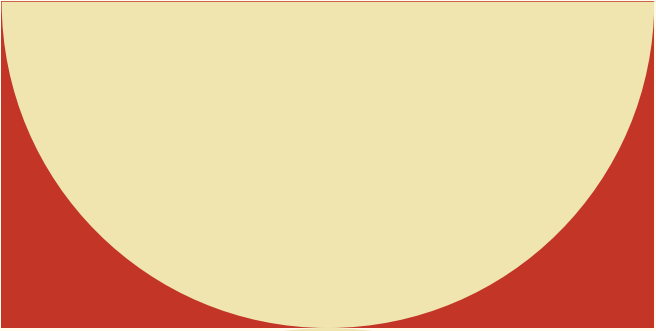
Yugveer singh

Pranav pravin wadkar

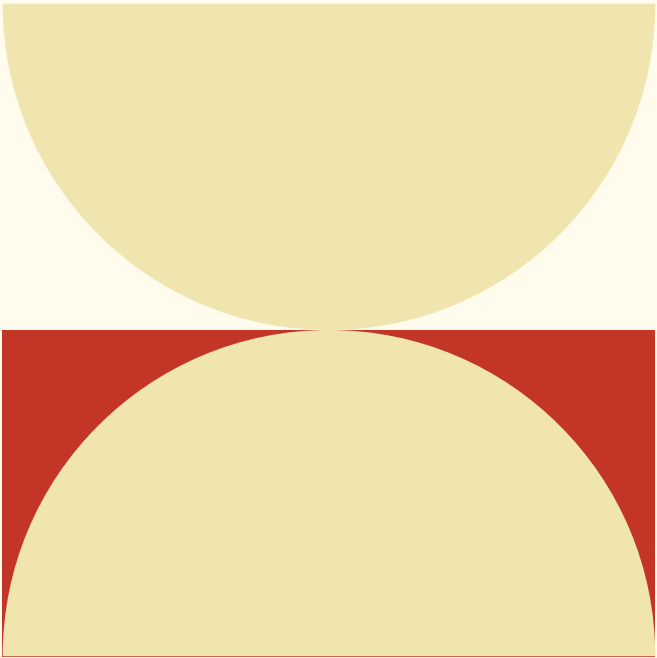


Meaning of Ratio analysis

- Ratio analysis is a method of analyzing financial statements
- It shows the relationship between two financial figures
- Helps in simplifying complex financial data
- Useful for comparison over years or with other companies
- Assists management and investors in decision-making



Objectives of ratio analysis

- To analyze financial performance using ratio analysis
 - To evaluate liquidity (short-term strength)
 - To study profitability (earning ability)
 - To examine solvency (long-term stability)
 - To understand efficiency of operations
 - To identify financial trends over time
- 
- 

Company overview for ratio analysis

- Company Name : Reliance Industries Limited
- Founded : 1966
- Founder : Dhirubhai Ambani
- Headquarters : Mumbai, India
- Chairman & MD : Mukesh Ambani
- Reliance is one of India's largest private sector companies.
- It operates in multiple sectors like : Petrochemicals Oil & Gas, Retail, Telecommunications and Known for innovation and strong market leadership.

Company data

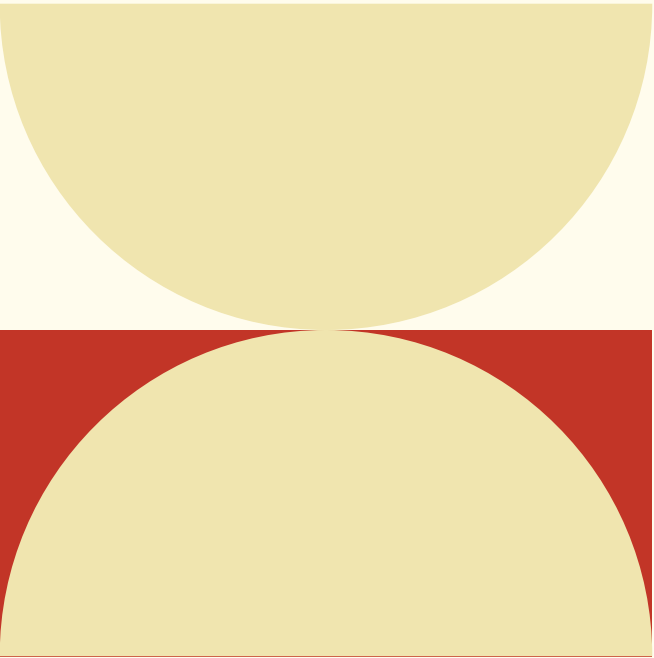


BALANCE SHEET

Particulars	2023	2022
Current Assets	2,60,000	2,40,000
Inventory	1,05,000	95,000
Current Liabilities	2,15,000	2,10,000
Total Assets	17,50,000	16,50,000
Shareholder Equity	8,50,000	7,90,000
Total Debt	3,20,000	3,40,000

PROFIT AND LOSS

Particulars	2023	2022
Revenue (Sales)	9,75,000	8,60,000
Net Profit	79,000	67,000
EBIT	1,25,000	1,10,000
Cost of Goods Sold	6,80,000	6,10,000



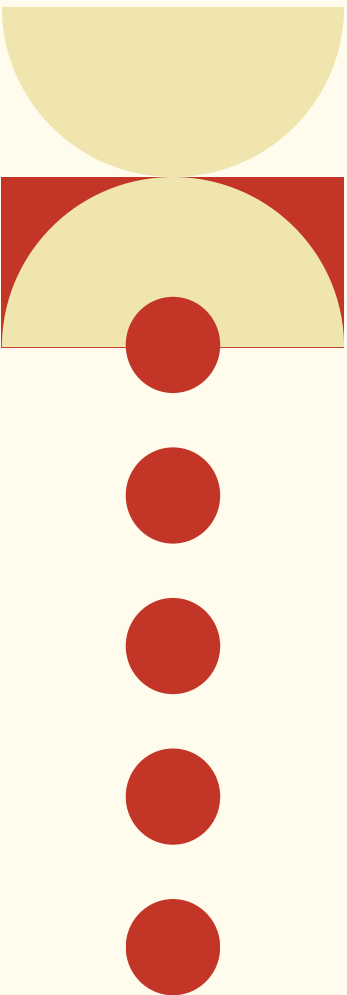
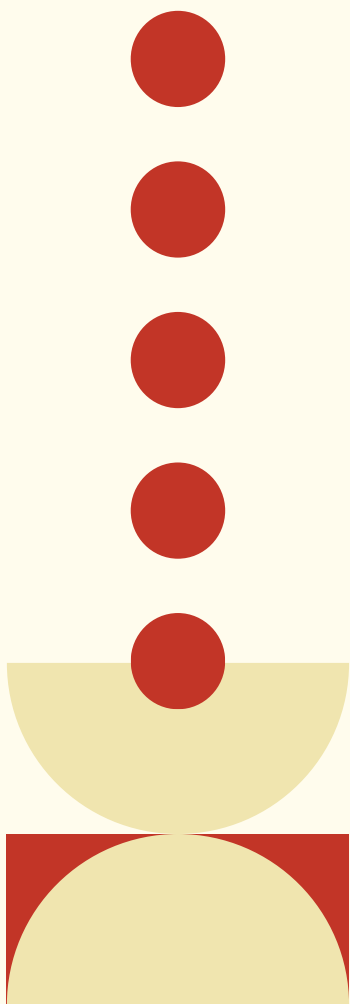
Types of ratios

1. Liquidity ratio

2. Profitability ratio

3. Efficiency ratio

4. Solvency ratio.



Liquidity ratio

1.Current Ratio

Formula :

Current Ratio = Current Assets / Current Liabilities

2023: 2,60,000 ÷ 2,15,000 = 1.21

2022: 2,40,000 ÷ 2,10,000 = 1.14

👉 Interpretation: Slight improvement in 2023, showing better ability to pay short-term liabilities.

Liquidity ratio



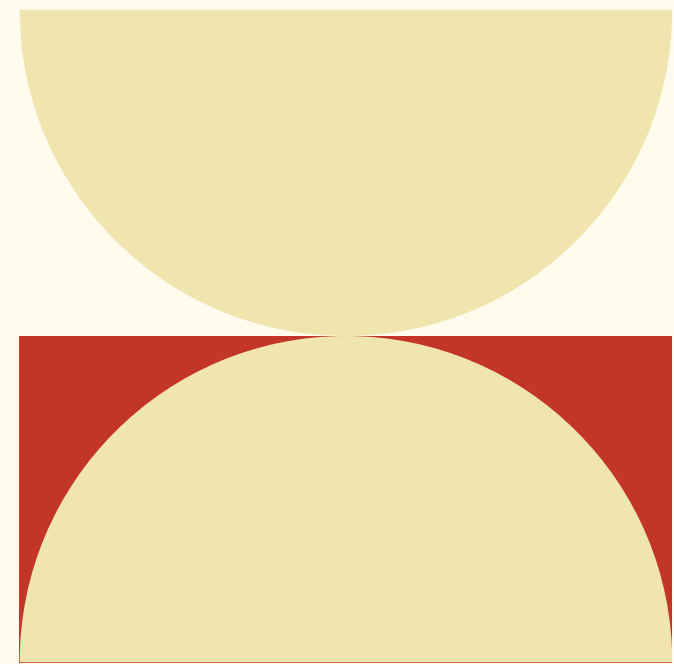
2. Quick Ratio (Acid-Test Ratio)

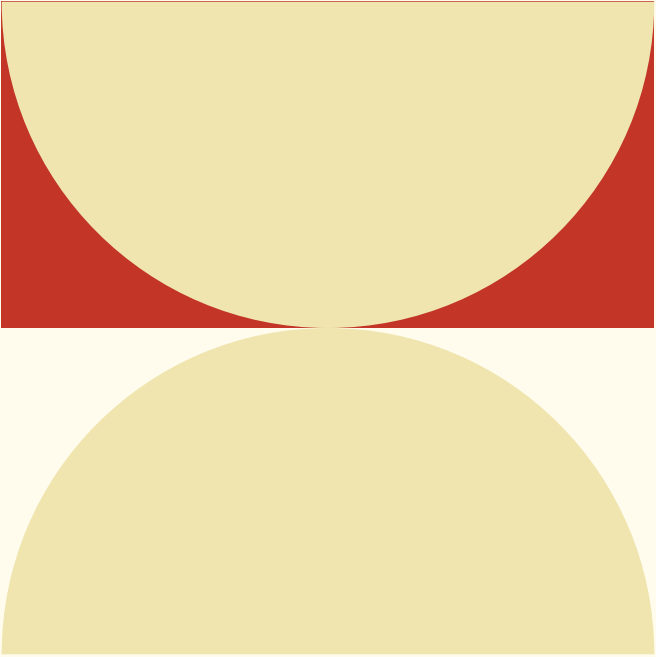
Quick Ratio = (Liquid Assets) ÷ Current Liabilities

2023: $(2,60,000 - 1,05,000) \div 2,15,000 = 0.72$

2022: $(2,40,000 - 95,000) \div 2,10,000 = 0.69$

👉 Interpretation: Below 1, meaning company depends on inventory to meet short-term obligations.





Profitability ratios

Types of profitability ratio

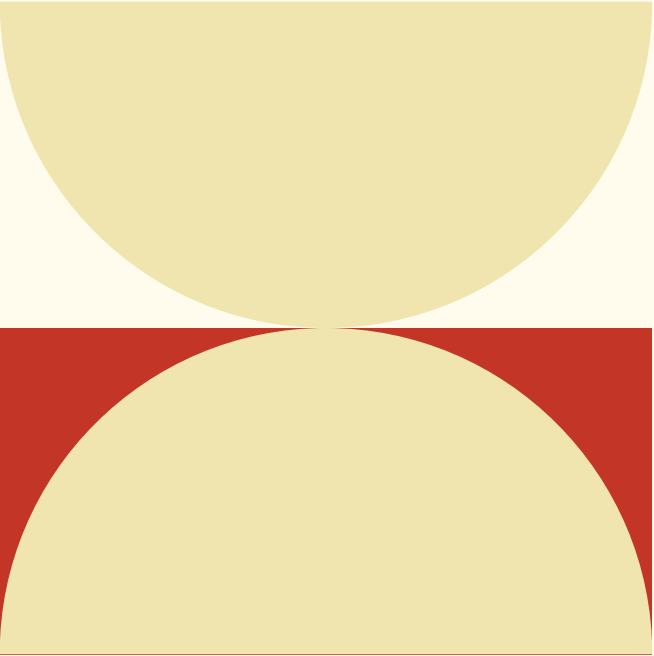
Gross Profit Ratio → Profit after production cost

Net Profit Ratio → Final profit after all expenses

Operating Profit Ratio → Profit from core business

ROCE → Efficiency of total capital used

ROE → Return given to shareholders



Profitability ratios

Gross Profit Ratio

- $= (\text{Gross Profit} / \text{Net Sales}) \times 100$
- $= (\text{₹}2,00,000 / \text{₹}8,00,000) \times 100 = 25\%$
- Good control over production cost

Net Profit Ratio

- $= (\text{Net Profit} / \text{Net Sales}) \times 100$
- $= (\text{₹}80,000 / \text{₹}8,00,000) \times 100 = 10\%$
- Company is earning decent profit

Operating Profit Ratio

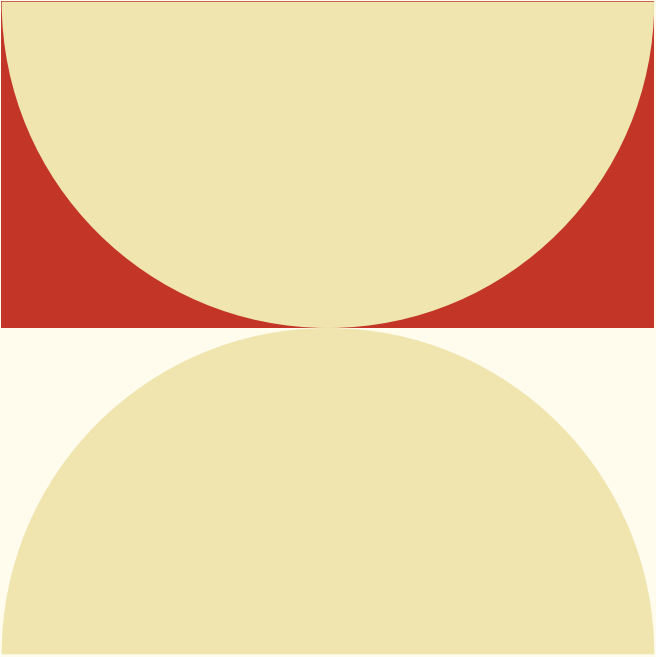
- $= (\text{Operating Profit} / \text{Net Sales}) \times 100$
- $= (\text{₹}1,20,000 / \text{₹}8,00,000) \times 100 = 15\%$
- Strong core business performance

ROCE

- $= (\text{EBIT} / \text{Capital Employed}) \times 100$
- $= (\text{₹}1,50,000 / \text{₹}10,00,000) \times 100 = 15\%$
- Efficient use of capital

ROE

- $= (\text{Net Profit} / \text{Shareholder's Equity}) \times 100$
- $= (\text{₹}80,000 / \text{₹}5,00,000) \times 100 = 16\%$
- Good returns to shareholder's



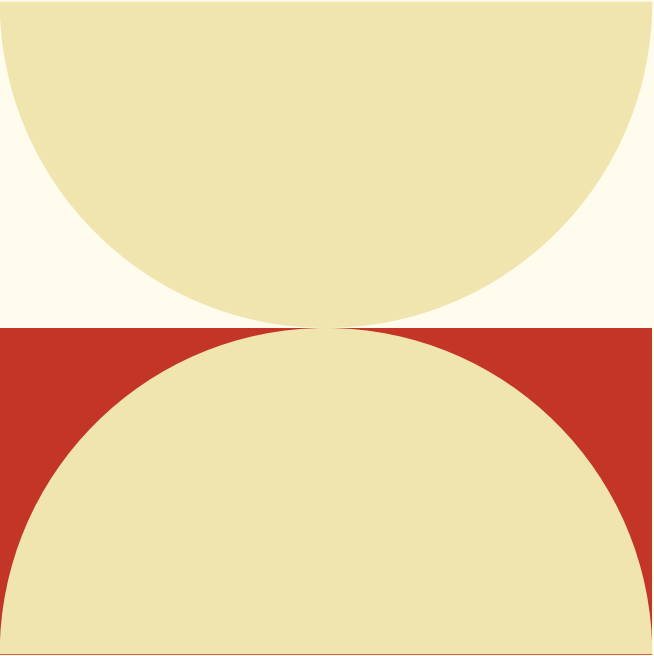
Efficiency ratios

Types of efficiency ratio

Inventory Turnover Ratio → Speed of selling stock

Debtors Turnover Ratio → Collection from customers

Asset Turnover Ratio → Use of total assets to generate sales



Efficiency ratios

Inventory Turnover Ratio

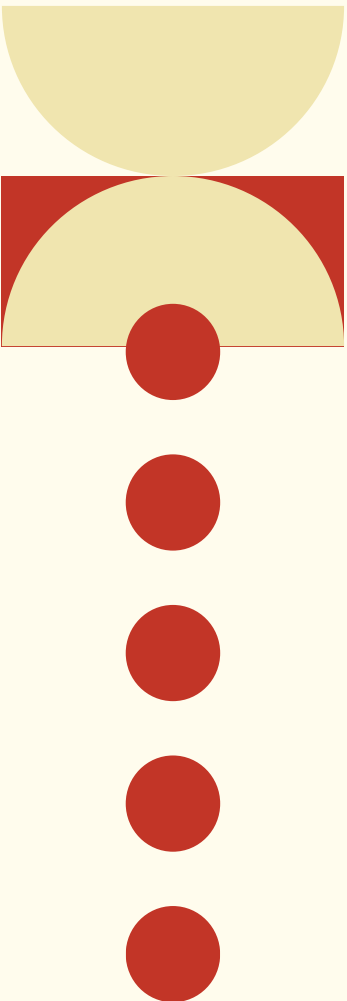
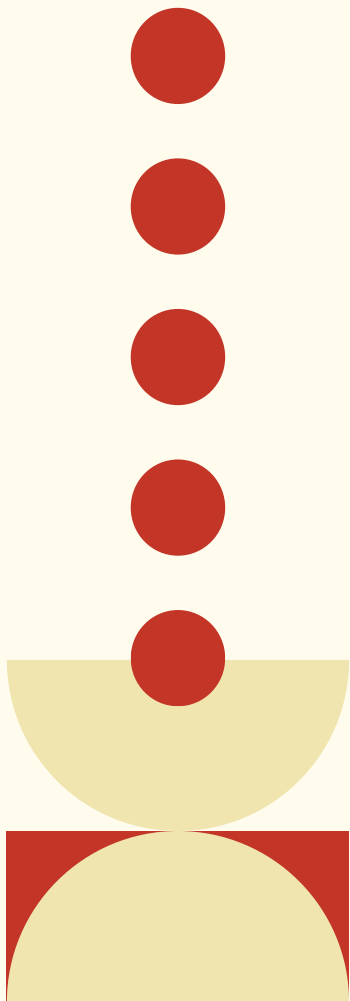
- = Cost of Goods Sold / Average Inventory
- = ₹6,00,000 / ₹1,50,000 = 4 times
- Stock is moving at a good speed

Debtors Turnover Ratio

- = Net Credit Sales / Average Debtors
- = ₹8,00,000 / ₹2,00,000 = 4 times
- Payments are collected on time

Asset Turnover Ratio

- = Net Sales / Total Assets
- = ₹8,00,000 / ₹10,00,000 = 0.8 times
- Moderate used of assets



Solvency ratios

Types of efficiency ratio

- **Debt-Equity Ratio** → Shows relation between debt and equity
- **Interest Coverage Ratio** → Ability to pay interest on debt
- **Proprietary Ratio** → Share of assets financed by owners

Solvency ratios

Debt-Equity Ratio

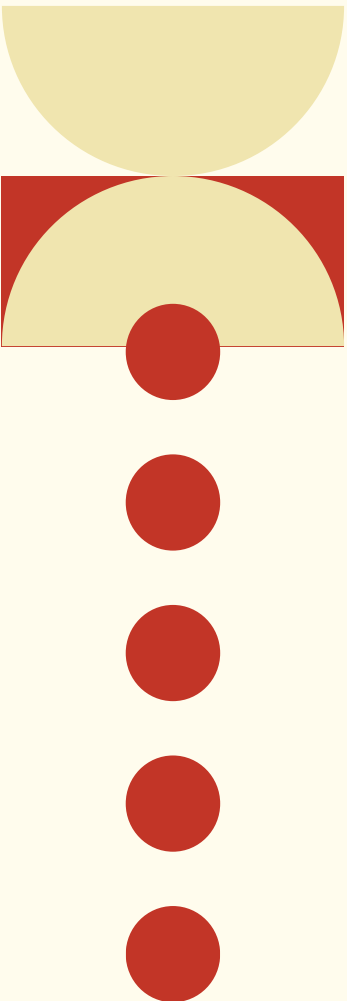
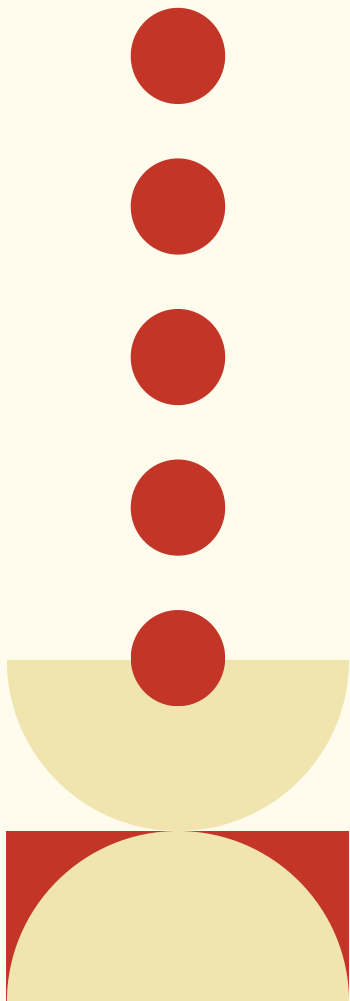
- = Total Debt / Shareholder's Equity
- = ₹5,00,000 / ₹5,00,000 = 1 : 1
- Balanced use of debt and equity

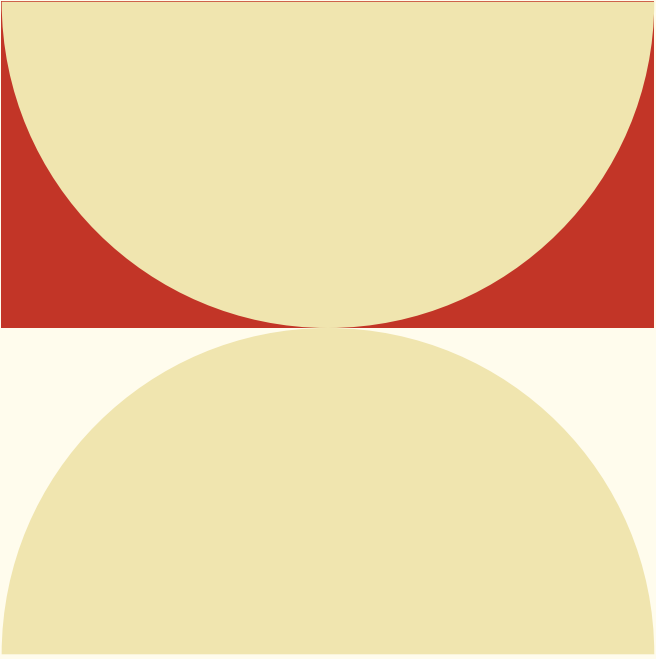
Interest Coverage Ratio

- = EBIT / Interest
- = ₹1,50,000 / ₹30,000 = 5 times
- Easily able to pay interest

Proprietary Ratio

- = Shareholder's Equity / Total Assets
- = ₹5,00,000 / ₹10,00,000 = 0.5
- Moderate financial stability



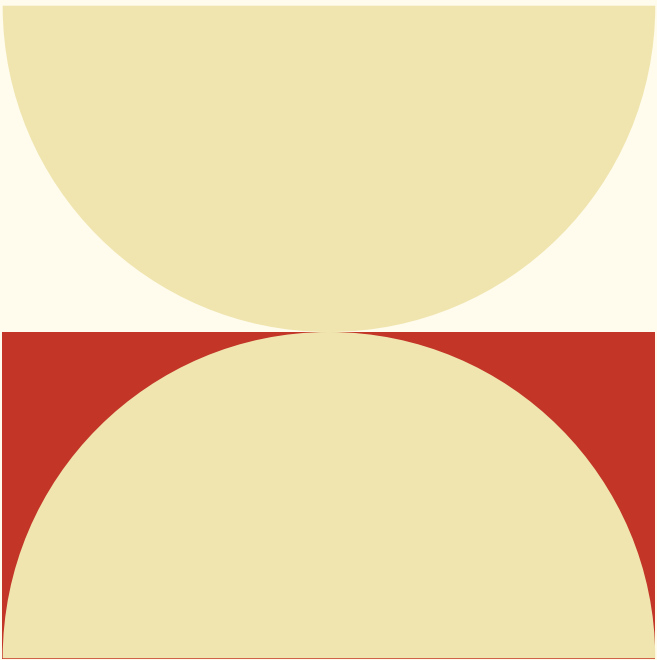


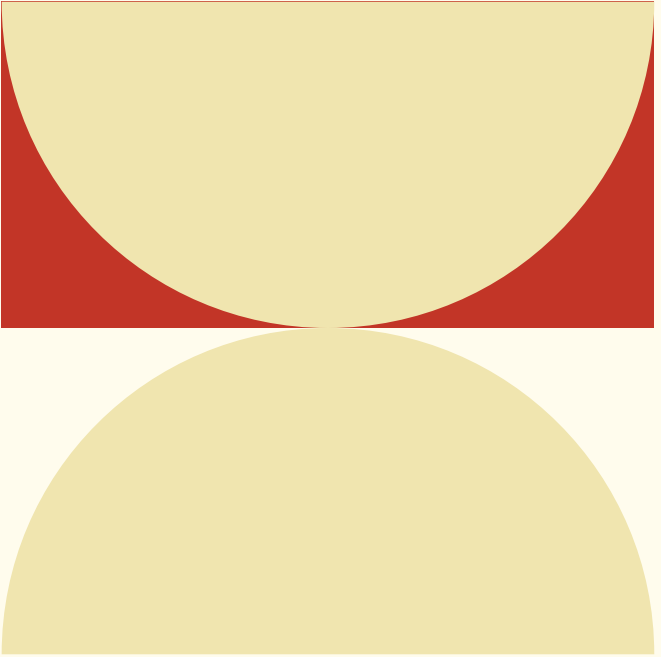
conclusion

- The ratio analysis of Reliance Industries Limited shows strong overall performance
- The company has good liquidity, ensuring it can meet short-term obligations
- Profitability ratios indicate stable and consistent profits
- Efficiency ratios show effective use of assets and resources
- Solvency ratios reflect strong financial stability and low risk

Final statement

Overall, Reliance Industries Limited is a financially strong and well-managed company, making it a good choice for investors.





Thank
you

